

soon as the phone books were published—even though, as anyone who has ever taken out a Yellow Pages advertisement knows, many businesses pay for those ads in monthly installments. Abracadabra! That piddly-sounding “change in accounting principle” pumped up 1999 net income by \$240 million after taxes—a fifth of all the money Qwest earned that year.

Like a little chunk of ice crowning a submerged iceberg, aggressive revenue recognition is often a sign of dangers that run deep and loom large—and so it was at Qwest. By early 2003, after reviewing its previous financial statements, the company announced that it had prematurely recognized profits on equipment sales, improperly recorded the costs of services provided by outsiders, inappropriately booked costs as if they were capital assets rather than expenses, and unjustifiably treated the exchange of assets as if they were outright sales. All told, Qwest’s revenues for 2000 and 2001 had been overstated by \$2.2 billion—including \$80 million from the earlier “change in accounting principle,” which was now reversed.^{[3](#)}

Capital Offenses

In the late 1990s, Global Crossing Ltd. had unlimited ambitions. The Bermuda-based company was building what it called the “first integrated global fiber optic network” over more than 100,000 miles of cables, largely laid across the floor of the world’s oceans. After wiring the world, Global Crossing would sell other communications companies the right to carry their traffic over its network of cables. In 1998 alone, Global Crossing spent more than \$600 million to construct its optical web. That year, nearly a third of the construction budget was charged against revenues as an expense called “cost of capacity sold.” If not for that \$178 million expense, Global Crossing—which reported a net loss of \$96 million—could have reported a net profit of roughly \$82 million.

The next year, says a bland footnote in the 1999 annual report, Global Crossing “initiated service contract accounting.” The company would no longer charge most construction costs as expenses against the immediate revenues it received from selling capacity on its network. Instead, a major chunk of those construction costs would now be treated not as an operating